

110	Hernandez vs. Forman Automotive toO, LLC 2026-01539781	1. Motion to Compel Arbitration 2. Case Management Conference Defendant Forman Automotive TO, LLC’s motion to compel arbitration of Plaintiff’s individual claims and stay the remaining PAGA action is GRANTED. As an initial matter, Plaintiff does not dispute that the subject arbitration agreement is governed by the Federal Arbitration Act (FAA); that he has refused arbitration; that the arbitration agreement exists; and that the arbitration agreement applies to his individual claims alleged in this action. Plaintiff also does not contend that, if the Court orders Plaintiff to arbitrate his individual claims, that his class claims should not be dismissed. Instead, Plaintiff contends only the arbitration agreement is procedurally and substantively unconscionable. (See ROA #30 [Opp.], passim.) Unconscionability has both a procedural and a substantive element: The procedural element focuses on the existence of “oppression or surprise due to unequal bargaining power,” and the substantive element focuses on “overly harsh or one-sided results.” (<i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal.4th 83, 114, internal quotes omitted.) For unconscionability to render an agreement or clause unenforceable, both procedural and substantive unconscionability must be present—but “they need not be present in the same degree.” (<i>Id.</i>) A “sliding scale” applies such that “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (<i>Id.</i>) The party opposing arbitration bears the burden of proving an unconscionability defense. (<i>Prima Donna Development Corp. v. Wells Fargo Bank, N.A.</i> (2019) 42 Cal.App.5th 22, 42.) A. Procedural Unconscionability “Procedural unconscionability concerns the manner in which the contract was negotiated and the circumstances of the parties at that time. It focuses on the factors of oppression and surprise. The oppression component arises from an inequality of bargaining power of the parties to the contract and an absence of real negotiation or a meaningful choice on the part of the weaker party.” (<i>Kinney v. United HealthCare Services, Inc.</i> (1999) 70 Cal.App.4th 1322, 1329, internal quotes & citations omitted.) 1. Contract of Adhesion Plaintiff contends that the agreement is a contract of adhesion because Defendant occupied a superior bargaining position; Plaintiff had no role in drafting the agreement and is less sophisticated; Plaintiff was not offered any opportunity to negotiate its terms and the agreement was a condition of employment; and Plaintiff was required to sign the agreement without the opportunity to review or ask questions. (Opp. at pp. 4-.)
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Where an arbitration agreement is “imposed on employees as a condition of employment and there was no opportunity to negotiate,” there is “little dispute” that the arbitration agreement is “adhesive.” (*Armendariz, supra*, 24 Cal.4th at pp. 114-115; *see also id.* at p. 113 [defining “contract of adhesion” as “a standardized contract, which[is] imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it”].)

However, “the adhesive nature of a contract is one factor the courts may consider in determining the degree of procedural unconscionability.” (*Carmona v. Lincoln Millennium Car Wash, Inc.* (2014) 226 Cal.App.4th 74, 84, fn. 4.) Moreover, the “adhesive aspect of an agreement is not dispositive,” as overall enforceability still depends on the “sliding scale” analysis of procedural and substantive unconscionability. (*Serpa v. Cal. Surety Investigations, Inc.* (2013) 215 Cal.App.4th 695, 704; *see also Graham v. Scissor-Tail, Inc.* (1981) 28 Cal.3d 807, 817 [contracts of adhesion are “an inevitable fact of life for all citizens”].)

Here, Plaintiff has shown a minimal degree of procedural unconscionability due to the adhesive nature of the agreement. Plaintiff claims that he was given the arbitration agreement by Defendant’s Service Director, Mike Carter and that he had no opportunity to ask questions or review the agreement. (ROA #34 [Flavio Decl.], ¶¶ 4-9.) However, the Court finds more credible the declaration and supplemental declaration of Defendant’s Human Resources Manager, Monica Silva (ROA #21, 44), along with the declaration of Carter (ROA #42). Based upon these declarations, the Court finds that Carter did not provide Plaintiff with the arbitration agreement as part of the compensation meeting Carter had with Plaintiff on 9/11/2023, but that instead, Silva provided Plaintiff with the arbitration agreement as part of Plaintiff’s onboarding process on 9/13/2023. The Court also finds that Silva did not place time constraints upon Plaintiff’s review or completion of the onboarding paperwork, including the arbitration agreement, and that Silva provided him with the opportunity to ask questions, but Plaintiff did not request additional time or ask questions.

In any case, the Court also finds that the agreement was a contract of adhesion in that Defendant occupied a superior bargaining position; Plaintiff had no role in drafting the agreement and is less sophisticated; and Plaintiff was not offered any opportunity to negotiate its terms and the agreement was a condition of employment. However, this only demonstrates a minimal decree of procedural unconscionability.

2. Surprise

Unfair surprise occurs when “the allegedly unconscionable provision is hidden within a prolix printed form.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126, internal quotes omitted.)

In Plaintiff’s opposition brief, Plaintiff also contends that “the multiple corporate names increased procedural surprise.” (Opp. at p. 5.) Plaintiff’s brief contends that although the arbitration agreement identifies Plaintiff’s employer as “United Toyota,” emails from Silva came from a “United

Nissan Imperial” domain, and Plaintiff’s wage statements identify his employer as “Forman Automotive TO, LLC.” (*Id.*) Accordingly, Plaintiff’s opposition contends that “[t]he layering of multiple corporate names—without clarification in the Agreement itself—creates ambiguity that undermines meaningful assent.” (*Id.* at p. 6.)

However, the only evidence Plaintiff has offered in support of this argument is Plaintiff’s declaration, which, significantly, does not state that Plaintiff did not understand who his employer was or that the arbitration agreement governs his employment relationship with his employer. Instead, all the declaration states is:

- “I worked for Defendant from in or around December 2022 to in or around July 2025 in El Centro as a Service Advisor for the Nissan, Toyota and Kia dealerships.” (Flavio Decl., ¶ 3.)
- “I received emails from Monica Silva from a ‘united Nissan imperial’ domain email address.” (*Id.* at ¶ 12.)
- “My wage statements identified my employer as Forman Automotive TO, LLC.” (*Id.* at ¶ 13.)

These statements do not demonstrate Plaintiff experienced any “procedural surprise” contemporaneously with his execution of the arbitration agreement. Instead, it tends to show Plaintiff understands that Defendant operates multiple dealerships, including both United Toyota and United Nissan Imperial, and Plaintiff worked for all of them.

Therefore, Plaintiff’s “procedural surprise” argument also lacks merit.

3. Failure to Specify Arbitrator and, by Extension, Failure to Identify or Attach Rules Governing Arbitration

Finally, on procedural unconscionability, Plaintiff contends that he suffered oppression because the arbitration agreement “only provides that ‘the Company and I will need to select an arbitrator by mutual agreement’” and “fails to clearly identify which rules will govern” and “fails to provide the applicable arbitration rules.” (Opp. at pp. 6-7.)

This argument lacks merit. Plaintiff cites no authority to support his argument that an arbitration agreement is unconscionable because it provides for selection of an arbitrator by mutual agreement. If anything, such agreement is expressly permitted by law. (See, e.g., Code Civ. Proc. [CCP], §§ 1280, subd. (g) [defining “Neutral arbitration” to mean “an arbitrator who is (1) selected jointly by the parties . . .”], 1281.6 [“If the arbitration agreement provides a method of appointing an arbitrator, that method shall be followed. If the arbitration agreement does not provide a method for appointing an arbitrator, the parties to the agreement who seek arbitration and against whom arbitration is sought may agree on a method of appointing an arbitrator and that method shall be followed.”])

Moreover, Plaintiff’s reliance on *Carbajal v. CWPSA, Inc.* (2016) 245 Cal.App.4th 227 to support his position is misplaced. *Carbajal* did not hold that an arbitration agreement must specify in advance which arbitrator or

arbitration agency must be appointed and specify which rules of the agency apply or attach the rules to the agreement. Instead, *Carbajal* held that where “the arbitration provision required the parties to arbitrate their disputes under the American Arbitration Association’s (AAA) rules,” the agreement is procedurally unconscionable because “the provision did not identify which of AAA’s many different rules would apply, [the employer] failed to provide [the employee] with a copy of the rules it believed applied, and [the employer] required [the employee] to sign the agreement without telling her where she could find the governing rules or giving her an opportunity to determine which rules would apply.” (*Id.* at pp. 233-234, emphasis added.)

Similarly, *Hasty v. American Automobile Assn. of Northern California, Nevada & Utah* (2023) 98 Cal.App.5th 1041, 1048, 1060-1061 also does not help Plaintiff because it involved an arbitration agreement specifying which rules would apply (i.e., JAMS’s), but the agreement provided a hyperlink to the rules that did not appear to work. And *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126-127, cited by Plaintiff, does not address the issue of an agreement’s failure to attach rules governing the arbitration.

In any case, as the *Carbajal* court acknowledged, even in situations where the agreement specifies which arbitration agency will be used, “the failure to attach the AAA rules, *standing alone*, [was an] insufficient ground[] to support a finding of procedural unconscionability’” (*Carbajal, supra*, 245 Cal.App.4th at pp. 245-246, quoting *Peng v. First Republic Bank* (2013) 219 Cal.App.4th 1462, 1472, italics & brackets original in *Carbajal*.)

In sum, the Court finds only a minimal degree of procedural unconscionability due to the adhesive nature of the agreement.

B. Substantive Unconscionability

“Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh or one-sided.” (*Hayden v. Elegance at Dublin* (2023) 97 Cal.App.5th 1280, 1287, internal quotes omitted.) “[T]he central idea [is] that unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910-911, internal quotes & citations omitted [also confirming that “overly harsh,” “unduly oppressive,” “so one-sided as to shock the conscience,” and “unfairly one sided” all point to this same “central idea”].) Unconscionable terms include those that “contravene the public interest or public policy” or “terms . . . that attempt to alter in an impermissible manner fundamental duties otherwise imposed by the law.” (*Id.* at p. 911.)

“The paramount consideration in assessing conscionability is mutuality.” (*Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 492, internal quotes, brackets, & ellipses omitted.) But “a contract can provide a margin of safety that provides the party with superior bargaining strength a type of extra protection for which it has a legitimate commercial need without being unconscionable.” (*Sanchez, supra*, 61 Cal.4th at p. 912, internal quotes omitted, quoting *Armendariz, supra*, 24 Cal.4th at p. 117.) “[W]here no

meaningful choice was exercised upon entering the contract, the test is whether the terms are so extreme as to appear unconscionable according to the mores and business practices of the time and place.” (*Id.*, internal quotes omitted.)

1. Overbroad Scope

Citing *Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, Plaintiff contends that the agreement is overbroad in scope because ¶ 3 of the agreement requires Plaintiff to arbitrate his *non-employment* claims against third parties. (Opp. at pp. 8-11.)

The instant agreement provides in ¶ 1 that Plaintiff and Defendant “agree to utilize binding individual arbitration to resolve all disputes that might arise out of or be related in any way to [Plaintiff’s] application for employment and/or employment by [Defendant].” Then, ¶ 3 of the agreement states:

My agreement to arbitrate claims against the Company includes claims I might bring against the Company’s parent, subsidiaries affiliates, customers, or client entities as well as against owners, directors, officers, managers, employees, agents, contractors, attorneys, benefit plan administrators, and insurers of the Company or of its parent, subsidiaries, affiliates, customers, or client entities. I also agree to arbitrate claims pursuant to the terms of this Agreement against any person or entity I allege to be a joint employer with the Company as well as claims brought against staffing companies, employee leasing companies, professional employer organization or payroll processing vendors that the Company has utilized.

In *Cook*, the court explicitly noted that “[t]he concern here is not that the arbitration agreement provides ancillary benefits to third parties. The concern is that the agreement provides benefits to broad swaths of third party beneficiaries only in favor of USC without any showing of justification for this one-sided treatment.” (*Cook, supra*, 102 Cal.App.5th at p. 327.) Specifically, the *Cook* court noted that that “[n]o explanation is offered as to why Cook should be required to give up the ability to ever bring claims in court against a USC employee that are unrelated to USC or her employment there.” (*Id.* at p. 327.) Accordingly, *Cook* is inapplicable to arbitration agreements that are limited in scope to only employment-related disputes. (See *Cocom v. ABM Aviation, Inc.* (9th Cir. 2026) --- F.4th ---, 2026 WL 1793637, at *4 [“The [agreement] here is limited to employment-related disputes, making this case distinguishable from *Cook*”].)

Plaintiff tacitly acknowledges that ¶ 1’s limitation of the arbitration agreement to only employment-related claims differentiates the instant agreement from the one considered in *Cook*. (See Opp. at pp. 9-10.) Nevertheless, Plaintiff contends that ¶ 3 is not similarly limited to employment-related claims but instead provides that Plaintiff must arbitrate all claims—including non-employment-related claims—against the third parties. (*Id.* at pp. 9-11, distinguishing *Ayala-Ventura v. Super. Ct.* (2026) 119 Cal.App.5th 241.)

In reply, Defendant contends that “[a]t the outset,” ¶ 1 of the agreement states that it applies only to employment-related claims, and “Paragraph 3 does not erase that threshold limitation. Its reference to owners, affiliates, employees, customers, agents, insurers, and alleged joint employers identifies additional persons or entities against whom covered employment-related claims must be arbitrated. It does not transform the Agreement into a lifetime obligation to arbitrate disputes having no connection to Plaintiff’s application or employment.” (ROA #40 [Reply], p. 8.)

Defendant has the better argument in interpreting the limited reach of ¶ 3. In the first sentence, ¶ 3 begins with “[m]y agreement to arbitrate claims against the Company,” and those “claims” refer only to employment-related claims, as explained in ¶ 1. Then, the sentence continues by referencing “claims I might bring against [third parties].” Although neither mention of the generic word “claims” in this sentence explicitly states that the relevant claims are only employment-related claims, given that ¶ 3 begins by implicitly referencing the context provided by ¶ 1, the remainder of ¶ 3 should also be interpreted to apply only to claims related to Plaintiff’s employment with Defendant. (See *Cocom*, *supra*, 2026 WL 1793637, at *6 [using “context of other [agreement] provisions” to interpret agreement as applying only to employment-related claims, as “[u]nder California law, other provisions from a contract may be used to shed light on ambiguous language”]; *E.M.M.I. Inc. v. Zurich American Insurance Co.* (2004) 32 Cal.4th 465, 475 [noting “the rule of contract interpretation that the same word used in an instrument is generally given the same meaning unless the policy indicates otherwise”].)

Interpreting ¶ 3 to apply to only employment-related claims also complies with the California Supreme Court’s application of Civil Code section 1643 in construing arbitration agreements such that “[w]here a contract is susceptible to two interpretations, one which renders it valid and the other which renders it void, a court should select the interpretation that makes the contract valid.” (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 507, also cited by *Ayala-Ventura*, *supra*, 119 Cal.App.5th at p. 256.) Although Civil Code section 1654 provides that “the language of a contract should be interpreted most strongly against the party who caused the uncertainty to exist,” which in this case would be Defendant as the drafter of the agreement, Civil Code section 1654 expressly states that its rule applies only “[i]n cases of uncertainty not removed by the preceding rules,” and section 1643 is a preceding rule. (*Ayala-Ventura*, *supra*, 119 Cal.App.5th at pp. 255-256.)

Accordingly, the Court finds that the agreement is not overbroad in scope because it does not provide for arbitration of Plaintiff’s non-employment claims against Defendant or the third parties listed in ¶ 3.

2. Lack of Mutuality

Plaintiff also contends that the agreement “[l]acks [m]utuality” because “[i]n the face of the extensive list of **all** disputes and a vast list of ‘covered entities[’] Defendant purports to bind Plaintiff, Defendant must only

arbitrate claims against the Plaintiff without binding any additional beneficiaries.” (Opp. at p. 11, emphasis original.)

Plaintiff devotes all of 10 lines of his opposition to this argument and fails to adequately develop this argument by citing the exact language of the agreement that Plaintiff contends makes the agreement lack mutuality. (*Id.*; see also *Niko v. Foreman* (2006) 144 Cal.App.4th 344, 368 [rejecting party’s arguments made “without supporting legal or factual analysis,” and noting that it is not the court’s function to “act as counsel for [a party] and furnish a legal argument” for that party]; *Craddock v. Kmart Corp.* (2001) 89 Cal.App.4th 1300, 1307 [refusing to consider argument “so poorly articulated” where party does not develop stated proposition].)

In any case, even if the agreement does contain some lack of mutuality as to arbitration of the third parties’ claims against Plaintiff relating to Plaintiff’s employment with Defendant, “Cook explicitly acknowledged that an arbitration agreement ‘cannot be unconscionable simply because it provides benefits to third parties.’” (*Cocom, supra*, 2026 WL 1793637, at *7, quoting *Cook, supra*, 102 Cal.App.5th at p. 348.) Moreover, as the *Cocom* court explained:

the lack of mutuality *Cook* found substantively unconscionable was predicated on the court’s conclusion that the agreement applied to all claims, regardless of whether they were related to Cook’s employment. Unlike the claims *Cook* found to be covered by the agreement, employment-related claims have an inherent asymmetry: an employee is far more likely to sue the employer and third parties—often many at a time, as *Cocom* has done here—rather than the other way around.

Ayala-Ventura is once again instructive. The court there distinguished *Cook*’s mutuality analysis, finding the inclusion of third parties not substantively unconscionable because the agreement at issue limited third parties’ ability to invoke the arbitration agreement “to claims against [the employer’s] employees or agents in their capacity as such,” meaning that “[a]ny claims Ayala-Ventura may have [had] against employees or agents unrelated to their role” were not covered by the agreement. The [agreement here] does not explicitly include the same express limitation, but the fact that the [agreement] is limited to employment-related claims achieves a similar result. Just as in *Ayala-Ventura*, claims *Cocom* may have against third parties “unrelated to their role” in ABM would not be covered by the MAA. *Id.* Because of the [agreement’s] more limited scope, the lack-of-mutuality analysis here is much more similar to *Ayala-Ventura* than to *Cook*, and any lack of mutuality does not rise to the level of substantive unconscionability.

(*Cocom, supra*, 2026 WL 1793637, at *7.)

3. Class and PAGA Waivers

Plaintiff also contends that the agreement’s class and PAGA waivers are substantively unconscionable because, even though “[w]hen viewed in isolation, [the waivers] may track post-*Adolph* practice[,] . . . when considered in combination with the Agreement’s sweeping scope, indefinite duration, and expansive coverage of affiliated entities, the class and representative waivers operate to significantly restrict the practical vindication of Labor Code rights.” (Opp. at p. 12.) In short, Plaintiff does not contend that the agreement’s class and PAGA waivers are illegal or unconscionable in and of itself, but rather, “the cumulative effect of compelling individual arbitration while foreclosing collective enforcement mechanisms contributes to the Agreement’s one-sided and employer-favoring design.” (*Id.*)

This argument lacks merit. As discussed above, the Agreement’s scope is not overbroad in that it covers only employment-related claims. Plaintiff also made no arguments about indefinite duration, and in any case, given that agreement applies only to claims related to Plaintiff’s employment, the default rule—that “arbitration agreements that do not specify a term of duration are terminable at will after a reasonable time has elapsed”—applies here, so the agreement is not of indefinite duration. (*Reigelsperger v. Siller* (2007) 40 Cal. 4th 574, 580.) Also as discussed above, Plaintiff also failed to adequately explain or develop his argument on lack of mutuality, and in any case, any purported lack of mutuality does not rise to the level of substantive unconscionability given the agreement’s limited coverage of only employment-related claims.

In short, the Court finds that the agreement has only a minimal degree of procedural unconscionability and no substantive unconscionability. Therefore, the agreement is enforceable.

Accordingly, Plaintiff is **ORDERED** to arbitrate his individual claims against Defendant, including Plaintiff’s individual PAGA claim against Defendant.

C. Plaintiff’s Class Claims and Stay of Instant Action Pending Arbitration

Although Defendant’s motion notes that the first 9 of Plaintiff’s 10 causes of action against Defendant are brought on a class action basis, Defendant’s motion requests that the Court “order arbitration of Plaintiff’s individual claims, including his individual PAGA claim) and stay all proceedings in connection with the remaining PAGA claims pursuant to C.C.P. § 1281.4 and the language of the agreement itself.” (Mot. at p. 4; see also *id.* at p. 2.) Defendant’s request for relief does not address Plaintiff’s class claims.

Here, the agreement includes a class waiver in ¶ 1, providing that Plaintiff “expressly waive[s] the right to bring a class, collective, or non-individual claim seeking any relief on behalf of others, unless such waiver is prohibited by controlling law.” (See also Agreement, ¶ 4 [“I agree to waive any

		substantive or procedural rights that I may have to bring or participate in an action brought on a class or collective basis”].) Courts routinely dismiss class claims while ruling on a motion to compel arbitration when the arbitration agreement contains an enforceable class waiver. (See, e.g., <i>Iskanian v. CLS Transportation Los Angeles, LLC</i> (2014) 59 Cal.4th 348, 361, 366; see also <i>Kinecta Alternative Financial Solutions, Inc. v. Super. Ct.</i> (2012) 205 Cal.App.4th 506, 510-511, 518-519 [dismissing class claims when an arbitration agreement governed by the FAA does not authorize class arbitration of disputes and the court orders arbitration of a plaintiff’s individual claims].) Therefore, Plaintiff’s class claims against Defendant are hereby DISMISSED. This action is STAYED until the arbitration is had pursuant to Code of Civil Procedure section 1281.4. An ADR review hearing is scheduled for March 4, 2027 at 9:30AM in Department CX102. The parties shall submit a joint status report 10 days in advance of the hearing. Defendant shall give notice of this ruling.
112	Medicredit Wage and Hour Cases JCCP 5269	1. Motion to Certify Class Certification (ROA 464) 2. Motion to Deny Class Certification (ROA 457) 3. Trial Setting Conference The Court has reviewed Plaintiff’s amended revised proposed class notice (ROA #633 at Exh. A) submitted in response to the Court’s 5/21/2026 minute order. The Court notes that the amended revised notice incorporates Defendants’ edits. (<i>Id.</i> at p. 3.) The Court CONTINUES the parties’ cross-motions on class certification to July, 23 2026 at 2:00 p.m. in Department CX102 and ORDERS Plaintiff to submit a further revised proposed class notice that addresses the deficiencies below. To recap, at the last hearing on 5/21/2026, the Court ordered Plaintiff to submit a revised proposed class notice that “clearly and adequately explains to class members (1) the substance of the “inclusive dates” wage statement claim as to which class certification is being granted; (2) all the remedies available under Labor Code section 226(e)(1); (3) the limited recovery sought in this case; and (4) the resulting forfeiture of the right to seek greater actual damages if the class member does not opt out.” (ROA #603.) Plaintiff’s amended revised class notice (ROA #633, Exh. A) does not adequately address these points. 1. As to “the substance of the ‘inclusive dates’ wage statement claim as to which class certification [has been] granted”:

- The revised class notice states in several places that the class definition is “a current or former non-exempt employee of Mediacredit, Inc. and/or Parallon Revenue Cycle Services, Inc. in California and received a wage statement reflecting one or more ‘BonRetOT’ payments at any time from April 23, 2020 to May 21, 2026.” (Not., passim.)
- But in § 3 (“What is this Class claim about?”), the description of the claim simply states:

The Class claim is based on Plaintiff’s allegation that Defendants violated the California Labor Code by issuing incomplete and inaccurate wage statements. Specifically, Plaintiff alleges that Defendants failed to include the necessary inclusive dates in wage statements when issuing retroactive true-up payments.

This description in § 3 does not adequately explain what “retroactive true-up payments” are; how such payments are related to the “one or more ‘BonRetOT’ payments” reflected on wage statements that is part of the class definition; or what “inclusive dates” means, including what Labor Code section 226 requires to appear on wage statements and what Plaintiff alleges Defendants did that violates section 226. Without such information, the notice does not clearly and adequately explain to class members what the claim is about so that each member can make an informed decision as to whether to remain in or opt out of the class, which includes being able to readily determine whether the class member has suffered any actual damages that they may wish to pursue instead of the statutory penalties.

2. As to “the limited recovery sought in this case,” the revised notice does attempt to explain in several places that this lawsuit seeks only statutory penalties rather than actual damages—including in § 1 (“Your Legal Rights and Options”), § 3 (“What is this Class claim about?”), § 7 (“What happens if I do nothing?”), and § 8 (“Why would I ask to be excluded?”). However, the language used throughout these sections should be further revised to more clearly warn class members about the limited recovery sought in this case and the consequences of deciding to remain in the class versus opting out (i.e., “the resulting forfeiture of the right to seek greater actual damages if the class member does not opt out” as noted in the Court’s 5/21/2026 order).

More specifically:

- In § 1 (“Your Legal Rights and Options,” under the subsection on “Do Nothing,” the revised note states:

You can stay in this lawsuit and await the outcome but you give up certain rights. If you do nothing, you will be part of the Class and consent to allow Plaintiff Heins and her counsel to make decisions on your behalf, including how the action is conducted. As a Class Member, you will keep the possibility

		of getting money or benefits that may come from a trial or settlement. But you will give up any rights to sue Defendants in a separate action about the same legal claims in this lawsuit. In addition, as explained in further detail below in Sections 3, 7, and 8, this lawsuit seeks to recover statutory monetary penalties rather than actual damages pursuant to California Labor Code section 22, subdivision (e)(1) for the alleged violations during the time period of April 23, 2020 to May 21, 2026 (“Class Period”). As part of the Class, you are agreeing to pursue statutory monetary penalties instead of actual damages under California Labor Code section 22, subdivision (e)(1) for alleged wage statement violations during the Class Period. The words “rather than” should be bolded and italicized to better warn class members of the limited recovery sought in this case. Also, the final sentence should be revised to state: “If you do nothing and remain part of the Class, you are agreeing to pursue <i>only</i> statutory penalties and will <i>forfeit</i> your right to seek actual damages under California Labor Code section 226, subdivision (e)(1) for the alleged wage statement violations during the Class Period.”¹ • In § 3 (“What is this Class claim about?”), the second paragraph states: Under California Labor Code section 22, subdivision (e)(1), the alleged wage statement violations may entitle an employee to recover the greater of their actual damages, <i>or</i> statutory penalties of fifty dollars (\$50) for the initial pay period and one hundred dollars (\$100) for each subsequent pay period, not to exceed an aggregate penalty of four thousand dollars (\$4,000). In this lawsuit, Plaintiff is pursuing statutory penalties on behalf of the Class for violations during the Class Period. (Emphasis original.) The last sentence should be revised to state: “In this lawsuit, Plaintiff is pursuing <i>only</i> statutory penalties on behalf of the Class for violations during the Class Period. This means that <i>even if</i> a Class Member’s actual damages are greater, the Class Member’s recovery is <i>limited to</i> recovering statutory penalties, <i>not</i> actual damages.” • In § 7 (“What happens if I do nothing?”), the third paragraph states:
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¹ Notably, § 7 of the revised notice does use the word “forfeit” to explain the “actual damages” right that class members would be giving up: “In addition, because this lawsuit seeks statutory penalties rather than actual damages for alleged violations during the Class Period (April 23, 2020 to May 21, 2026), if you remain part of the Class, you ***forfeit*** any claim to your actual damages you may be entitled to for injuries suffered based on the alleged wage statement violations during the Class Period.” (Emphasis added.) The revision of § 1 therefore simply makes the two sections’ descriptions of class members’ rights more consistent.

In addition, because this lawsuit seeks statutory penalties rather than actual damages for alleged violations during the Class Period (April 23, 2020 to May 21, 2026), if you remain part of the Class, you forfeit any claim to your actual damages you may be entitled to for injuries suffered based on the

alleged wage statement violations during the Class Period. To the extent you may desire to seek actual damages for injuries suffered before April 23, 2020, those claims are not part of the certified claim in this lawsuit, and will not be impacted by this lawsuit.

Again, “rather than” should be bolded and italicized.

Also, the last sentence is inaccurate in that it states class members’ claims for actual damages “will not be impacted by this lawsuit.” Instead, the last sentence should be revised to read: “To the extent you may desire to seek actual damages for injuries suffered before April 23, 2020, you should exclude yourself from the Class (see Sections 8 and 9 below for more information).

- In § 8 (“Why would I ask to be excluded?”), the first two paragraphs state:

If you exclude yourself from the Class, you will not be part of the Class and will not receive any money or benefits if Plaintiff is successful in winning this case or if the Parties reach a settlement.

However, if you exclude yourself, you may be able to sue Defendants in a separate case for the claims in this lawsuit. If you exclude yourself, you may be able to sue Defendants in a separate case for your actual damages for injuries suffered based on the alleged wage statement violations during the Class Period. If you exclude yourself, you will not be legally bound by any orders or judgments the Court makes in this case. If you bring your own lawsuit against Defendants after you exclude yourself, you may hire your own lawyer for that case and pursue your own claims.

The second sentence of the second paragraph should be revised to read: “If you exclude yourself, you may be able to sue Defendants in a separate case for statutory penalties *or* actual damages for injuries suffered based on the alleged wage statement violations during the Class Period.”

- In the portion of the revised notice that appears to constitute a request for exclusion postcard/form, under the box for “I **DO NOT WANT** to participate in this class action,” the proposed language states:

		I understand that by checking this box I am requesting to be excluded from the class action, I will not be eligible to share in any benefit the Class may receive. I understand that I will retain any legal rights I may have against Defendants with regard to the claims that are asserted in this lawsuit. I understand that I will not be bound by the Court’s rulings. In the first sentence, the word “and” should be inserted between “action, I.” In the second sentence, the following phrase should be added to the end of the sentence: “, including the right to pursue statutory penalties <i>or</i> actual damages for injuries suffered based on the alleged wage statement violations during the Class Period.” Also in the portion of the revised notice that appears to constitute a request for exclusion postcard/form, the final paragraph states: If you fail to return this form by the deadline, you will remain a Class Member. You will be bound by the Court’s rulings in the lawsuit, including any approved settlement or judgment. You will share in any benefit the Class may receive, but you will give up the right to sue Defendants on your own for the same legal claims asserted by the class in this lawsuit. Remaining a Class Member does not guarantee that you will receive any benefit or recovery from this lawsuit. The third sentence should be revised to add the following phrase to the end of the sentence: “, including the right to sue Defendants for any actual damages you may be entitled to for injuries suffered based on the alleged wage statement violations during the Class Period.” 3. Additionally, in § 6, the added definition of the class includes a typo: “current of former non-exempt employee” (emphasis added). The word “of” should say “or” instead. Plaintiff’s counsel must submit a further revised class notice, including both a clean version and a redline, addressing the above-listed issues no later than 16 court days prior to the continued hearing date. To expedite the Court’s review of the further revised class notice, the parties should meet and confer before Plaintiff’s submission to the Court. If the parties are unable to resolve any differences, Defendants shall file their objections no later than 9 court days prior to the continued hearing date. Plaintiff shall give notice of this ruling.
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